Report & Consolidated Financial Statements

Group Ark Insurance Limited

Registered number: 39617

2024

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Directors and administration

Directors

A Ayliffe
I Beaton (Chairman)
N Bonnar
J Clements (Chief Executive)
G Rountree
J Reardon
J Wardrop

Company secretary

Conyers Corporate Services (Bermuda) Ltd

Registered office

Clarendon House
2 Church Street
Hamilton HM 11
Bermuda

Company registration number

39617

Bankers

HSBC Bank of Bermuda Limited
6 Front Street
Hamilton HM 11
Bermuda

Registered auditors

PwC
4th Floor
Washington House
16 Church Street
Hamilton HM 11
Bermuda

Independent auditor's report

To the Board of Directors and Shareholder of Group Ark Insurance Limited

Our opinion

In our opinion, the consolidated financial statements present fairly, in all material respects, the consolidated financial position of Group Ark Insurance Limited (the Company) and its subsidiaries (together 'the Group') as at 31 December 2024 and their consolidated financial performance for the year then ended in accordance with FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland" and FRS 103 "Insurance Contracts".

What we have audited
The Group's consolidated financial statements comprise:

- the consolidated balance sheet as at 31 December 2024;
- the consolidated statement of income for the year then ended;
- the consolidated statement of comprehensive income for the year then ended;
- the consolidated statement of changes in equity for the year then ended;
- the notes to the consolidated financial statements, which include a description of the significant accounting policies and other explanatory information.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the *Auditor's responsibilities for the audit of the consolidated financial statements* section of our report.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence
We are independent of the Group in accordance with the International Code of Ethics for Professional Accountants (including International Independence Standards) issued by the International Ethics Standards Board for Accountants (IESBA Code) and the ethical requirements of the Chartered Professional Accountants of Bermuda Rules of Professional Conduct (CPA Bermuda Rules) that are relevant to our audit of the consolidated financial statements in Bermuda. We have fulfilled our other ethical responsibilities in accordance with the IESBA Code and the ethical requirements of the CPA Bermuda Rules.

Responsibilities of management and those charged with governance for the consolidated financial statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland" and FRS 103 "Insurance Contracts", and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Group's financial reporting process.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

- Plan and perform the group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the Group as a basis for forming an opinion on the consolidated financial statements. We are responsible for the direction, supervision and review of the audit work performed for purposes of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Chartered Professional Accountants
Hamilton, Bermuda
19 March 2025

Consolidated statement of income

For the year ended 31 December 2024

	Notes	2024 USD'000	2023 USD'000
Revenue			
Gross premiums written		1,540,399	1,344,842
Outward reinsurance premiums		(415,735)	(327,993)
Net premiums written		1,124,664	1,016,849
Gross premiums earned		1,465,414	1,252,190
Premiums ceded to reinsurers		(408,362)	(313,309)
Net premiums earned		1,057,052	938,881
Investment result	4	87,243	71,184
Income from interests in associated undertakings	5	8,772	-
Total revenue		1,153,067	1,010,065
Expenses			
Claims incurred and claim adjustment expenses		(896,927)	(711,636)
Reinsurance recoveries		135,526	52,835
Claims and claim adjustment expenses, net of reinsurance recoveries		(761,401)	(658,801)
Expenses for the acquisition of insurance contracts		(63,442)	(67,977)
Operating expenses	6	(44,014)	(38,703)
Total expenses		(868,857)	(765,481)
Profit on operating activities		284,210	244,584
Finance costs	7	(19,498)	(21,330)
Profit for the year before tax		264,712	223,254
Taxation benefit	8	-	51,000
Profit for the year after tax		264,712	274,254

Consolidated statement of comprehensive income

	Notes	2024 USD'000	2023 USD'000
Profit for the year after tax		264,712	274,254
		264,712	274,254

The notes on pages 8 to 35 form part of these consolidated financial statements.

Consolidated balance sheet

As at 31 December 2024

	Notes	2024 USD'000	2023 USD'000
Assets			
Financial assets carried at fair value	9	1,653,550	1,383,691
Fixed assets		746	1,038
Deferred acquisition costs	10	43,988	42,384
Insurance receivables	11	1,509,127	664,884
Reinsurance assets	12	333,162	241,386
Other receivables	13	6,100	5,536
Cash and cash equivalents	14	126,332	46,590
Prepayments and accrued income		15,780	11,292
Deferred tax asset	19	51,000	51,000
Associated undertakings	22	13,772	-
Total assets		3,753,557	2,447,801
Equity and liabilities			
Equity			
Called up share capital	15	1,000	1,000
Share premium	15	595,399	595,399
Retained earnings		652,594	387,882
Total equity		1,248,993	984,281
Liabilities			
Insurance liabilities	16	2,199,660	1,186,358
Financial liabilities	9, 17	158,060	189,682
Other payables	18	122,589	59,730
Payable for investments purchased		4,000	10,000
Accruals and deferred income		20,255	17,750
Total liabilities		2,504,564	1,463,520
Total equity and liabilities		3,753,557	2,447,801

The notes on pages 8 to 35 form part of these consolidated financial statements. The consolidated financial statements were approved by the Board of Group Ark Insurance Limited on 19 March 2025 and signed on its behalf by

DocuSigned by:

J Clements, Director

March 19, 2025

Consolidated statement of changes in equity

For the year ended 31 December 2024

	Share capital	Share premium	Retained earnings	Total
	USD'000	USD'000	USD'000	USD'000
At 1 January 2023	1,000	595,399	128,628	725,027
Profit for the year	-	-	274,254	274,254
Dividends	-	-	(15,000)	(15,000)
At 31 December 2023	1,000	595,399	387,882	984,281
Profit for the year	-	-	264,712	264,712
At 31 December 2024	1,000	595,399	652,594	1,248,993

The notes on pages 8 to 35 form part of these consolidated financial statements.

General Information

Group Ark Insurance Limited ("GAIL") is a subsidiary of Ark Insurance Holdings Limited ("AIHL"). AIHL is a subsidiary of White Mountains Insurance Group, Ltd ("WTM"). The Company underwrites property, casualty and specialty (re)insurance. Prior to 2021 the Company underwrote a quota share reinsurance contract with Ark Capital Management Limited ("ACML"). In 2021, GAIL started to underwrite third-party insurance and reinsurance from Bermuda, as such the Company employs 39 people in Bermuda.

During the third quarter of 2024 GAIL sponsored the formation of the Daggar Segregated Account ("Daggar"), a separate account under Artex Axcell Re Ltd. ("Axcell Re"), a Bermuda company registered as a Class 3 insurer and segregated accounts company. GAIL capitalized Daggar by purchasing all 1,000 non-voting redeemable preference shares issued for $1 each and contributing additional surplus of $11.0 million.

The consolidated financial statements and accompanying notes include the accounts of Daggar and intercompany transactions have been eliminated.

1. Statement of accounting policies

Statement of compliance

The consolidated financial statements were prepared in accordance with Financial Reporting Standard 102 *The Financial Reporting Standard applicable in the UK and Republic of Ireland* ("FRS 102") and Financial Reporting Standard 103 *Insurance Contracts* ("FRS 103"). The consolidated financial statements for the year ended 31 December 2024 comprise of GAIL and Daggar. Legislation applied in the preparation of these consolidated financial statements is the Bermuda Companies Act 1981.

Basis of preparation

The consolidated financial statements are prepared using the historical cost convention except that financial investments and derivative financial instruments are stated at their fair value. All amounts presented are stated in US dollars, unless stated otherwise.

The consolidated financial statements have been prepared on a going concern basis. The directors of GAIL have performed an assessment of the Company's ability to continue as a going concern. A going concern assessment has been undertaken, taking into consideration availability of capital, liquidity and stress testing. The directors of GAIL have therefore concluded that there are no material uncertainties that could have cast significant doubt over the ability of the Company to continue as a going concern for at least a year from the date of approval of the consolidated financial statements.

The Company is considered to be a qualifying entity (for the purposes of FRS) and has applied exemptions available under FRS 102 in respect of the requirement to include a cash flow statement and related notes. The results of the Company are consolidated in the financial statements of AIHL and WTM. The consolidated financial statements of the AIHL and WTM group can be obtained from the registered office as set out on page two.

Consolidation

Subsidiary undertakings, which are those entities over which the Company, directly or indirectly, has the power to exercise control over financial and operating policies so as to obtain benefits from their activities, have been consolidated. They are consolidated from the date on which control is transferred to the group and cease to be consolidated from the date on which control ends. All significant intercompany transactions and balances are eliminated on consolidation. Investments in which the Company exercises significant influence are accounted for under the equity method. Under the equity method the Company's share in post-acquisition profit or loss is recognized in the consolidated statement of income.

The group has used the acquisition method of accounting for business combinations arising on the purchase of subsidiaries. Under this method, the cost of acquisition is measured as the fair value of assets given, shares issued or liabilities undertaken at the date of acquisition directly attributable to the acquisition.

Use of judgements and estimates

In preparing these accounts, the directors have made judgements, estimates and assumptions that affect the application of the accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates. Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to estimates are recognised prospectively. The measurement of the provision for claims

outstanding involves judgments and assumptions about the future that have the most significant effect on the amounts recognised in the consolidated financial statements.

Insurance contracts

Insurance contracts (including inwards reinsurance contracts) are defined as those containing significant insurance risk. Insurance risk is considered significant if, and only if, an insured event could cause GAIL to pay significant additional benefits in any scenario, excluding scenarios that lack commercial substance. Such contracts remain insurance contracts until all rights and obligations are extinguished or expire.

Notes to the consolidated financial statements

1. Statement of accounting policies (continued)

Premiums written and earned (continued)

Premiums written comprise premiums on contracts incepted during the financial year as well as adjustments made in the year to premiums written in prior accounting years. Premiums are shown gross of acquisition costs such as brokerage payable and taxes and duties levied on them. Estimates are made for pipeline premiums, representing amounts due but not yet notified.

Written premiums are recognised as earned according to the risk profile of the policy. Unearned premiums represent the proportion of premiums written in the year that relate to unexpired terms of policies in force at the balance sheet date. The provision is calculated on a policy by policy basis.

Reinsurance premiums ceded and earned

Outwards reinsurance premiums are accounted for in the same accounting year as the premiums for the direct or inwards business being reinsured.

Claims liabilities and related reinsurance recoveries

The provision for claims comprises amounts set aside for claims notified and claims incurred but not yet reported ("IBNR"). Claims incurred comprise claims and claims handling expenses paid in the year and the movement in provision for outstanding claims and future claims handling expenses. Recoverable amounts arising out of subrogation and salvage together with reinsurance recoveries are deducted from the cost of gross claims. Outstanding claims consist of amounts set aside for notified claims and a provision for IBNR claims. The amount included in respect of IBNR is arrived at by considering the actuarially calculated provision, using techniques that generally involve statistical techniques of estimation applied by GAIL actuaries and reviewed by external consulting actuaries, as well as the opinion of the class underwriters and executive management. The actuarial techniques generally involve projecting from past experience of the development of claims over time to form a view of the likely ultimate claims to be experienced for more recent underwriting having regard to variations in the business accepted and the underlying terms and conditions. Large claims are generally assessed individually, being calculated on a case by case basis or projected separately to allow for the possible distortive effects of the developments of these claims on the balance of the data. The provision for claims also includes amounts in respect of internal and external claims adjustment costs.

The reinsurers' share of provisions for claims is based on calculated amounts of outstanding claims and projections for IBNR, net of estimated irrecoverable amounts, having regard to the reinsurance programme in place for the class of business, the claims experience for the year and the current security rating of the reinsurance companies involved.

Accordingly the two most critical assumptions with regards to claims provisions are that the past is a reasonable predictor of the likely level of claims development and that the rating and other models used for current business are fair reflections of the likely level of ultimate claims to be incurred. Ultimate liability will vary as a result of subsequent information and events and this may result in significant adjustments to the amounts provided. Adjustments to the amount of claims provisions established in prior years are reflected in the consolidated financial statements for the year in which the adjustments are made. The methods used, and the estimates made, are reviewed regularly.

Acquisition costs

Acquisition costs, comprising brokerage and taxes and duties levied on them are deferred to the extent that they are attributable to premiums unearned at the balance sheet date.

Foreign currency translation

a) Functional and presentation currency

Items included in the consolidated financial statements of the Company are measured using the US dollar, the currency of the primary economic environment in which the Company operates (the "functional currency"). The consolidated financial statements are presented in US dollars, being the presentation currency of the Company.

b) Transactions and balances

Foreign currency transactions are translated into the functional currency using average exchange rates applicable to the period in which the transactions take place and where the Company considers these to be a reasonable approximation of the transaction rate. Foreign exchange gains and losses resulting from the settlement of such transactions and from translation at the period end of monetary assets and liabilities denominated in foreign currencies are recognised in the statement of profit or loss. Non-monetary items recorded at historical cost in foreign currencies are translated using the exchange rate on the date of the initial transaction. For the purposes of foreign currency translation, unearned premiums and deferred acquisition costs are treated as if they are monetary items.

1. Statement of accounting policies (continued)

Financial assets

Financial assets are recognised in the balance sheet at such time as the Company becomes a party to the contractual provisions of the asset. Purchases and sales of financial assets are recognised on the trade date, which is the date the Company commits to purchase or sell the asset. A financial asset is derecognised when the contractual rights to receive cash flows from the financial assets expire, or where the financial assets have been transferred, together with substantially all the risks and rewards of ownership. Financial liabilities are derecognised if the Company's obligations specified in the contract expire, are discharged or cancelled.
On acquisition of a financial asset, the Company is required to classify the asset into one of the following categories: financial assets at fair value through the statement of profit or loss, loans and receivables, assets held to maturity and assets available for sale.

Assets are designated as fair value through the statement of profit or loss upon initial recognition because they are managed and their performance is evaluated on a fair value basis. Information about these financial assets is provided internally on a fair value basis to the Company's key management. The Company's investment strategy is to invest and evaluate their performance with reference to their fair values.

Fair value is the price at which an orderly transaction to sell an asset or to transfer a liability would take place between market participants at the measurement date.

When available, the Company measures the fair value of an instrument using quoted prices in an active market for that instrument. A market is regarded as active if quoted prices are readily and regularly available and represent actual and regularly occurring market transactions on an arm's length basis. If a market for a financial instrument is not active, the Company establishes fair value using a valuation technique. Valuation techniques include using recent orderly transactions between market participants (if available), reference to the current fair value of other instruments that are substantially the same, discounted cash flow analyses and option pricing models. The chosen valuation technique makes maximum use of market inputs, relies as little as possible on estimates specific to the Company, incorporates all factors that market participants would consider in setting a price, and is consistent with accepted economic methodologies for pricing financial instruments. Inputs to valuation techniques reasonably represent market expectations and measures of the risk-return factors inherent in the financial instrument. The Company calibrates valuation techniques and tests them for validity using prices from observable current market transactions in the same instrument or based on other available observable market data.

The best evidence of the fair value of a financial instrument at initial recognition is the transaction price, i.e. the fair value of the consideration given or received, unless the fair value of that instrument is evidenced by comparison with other observable current market transactions in the same instrument (i.e. without modification or repackaging) or based on a valuation technique whose variables include only data from observable markets. When transaction price provides the best evidence of fair value at initial recognition, the financial instrument is initially measured at the transaction price and any difference between this price and the value initially obtained from a valuation model is subsequently recognised in profit or loss depending on the individual facts and circumstances of the transaction but not later than when the valuation is supported wholly by observable market data or the transaction is closed out.

Upon initial recognition, attributable transaction costs relating to financial instruments at fair value through profit or loss are recognised in the statement of profit or loss when incurred. Financial assets at fair value through profit or loss are continually measured at fair value, and changes therein are recognised in the statement of profit or loss. Net changes in the fair value of financial assets at fair value through profit or loss exclude interest and dividend income, as these items are accounted for separately as set out below.

Insurance receivables and payables

Insurance receivables and payables are recognised when due. These include amounts due to and from agents, brokers and insurance contract holders. Insurance receivables are classified as 'loans and receivables' as they are non-derivative financial assets with fixed or determinable payments that are not quoted on an active market. Insurance receivables are measured at amortised cost less any impairment losses. Insurance payables are stated at amortised cost.

Other receivables

Other receivables are carried at cost less any impairment losses.

Investment income

Investment income consists of dividends, interest, realised and unrealised gains and losses and foreign exchange gains and losses on financial assets at fair value through the statement of profit or loss. Dividends on equity securities are recorded as revenue on the ex-dividend date. Interest is recognised separately using the effective interest rate method for financial assets at fair value through the statement of profit or loss. The realised gains or losses on disposal of an investment are the difference between the proceeds and the original cost of the investment. Unrealised investment gains and losses represent the difference between the carrying value at the reporting date, and the carrying value at the previous period end or purchase value during the period.

Notes to the consolidated financial statements

1. Statement of accounting policies (continued)

Borrowings

Borrowings are stated at cost and interest is recognised in the statement of profit or loss over the period of the borrowings using the effective interest method.

Finance costs comprise interest, fees paid for the arrangement of debt and letter of credit facilities and commissions charged for the utilisation of letters of credit. These costs are recognised in the statement of profit or loss in the year they are incurred.

Other payables

Other payables are stated at cost determined on the effective interest rate method.

Hedge accounting and derivative financial instruments

Derivatives are initially recognised at fair value on the date on which a derivative contract is entered into and are subsequently re-measured at their fair value. The best evidence of fair value of a derivative at initial recognition is the transaction price. The method of recognising the resulting fair value gains or losses depends on whether the derivative is designated as a hedging instrument and, if so, the nature of the item being hedged. Fair values are obtained from quoted market prices in active markets, recent market transactions, and valuation techniques which include discounted cash flow models. All derivatives are carried as assets when fair value is positive and as liabilities when fair value is negative.

Cash and cash equivalents

Cash and cash equivalents consist of cash at bank and in hand, deposits held at call with banks and other short-term highly liquid investments with maturities of three months or less from the date of acquisition.

Depreciation

Depreciation has been provided on a straight line basis to write off the costs of fixed assets, less their residual values, over their estimated useful lives. The rates used are as follows - Computer equipment and software 33%; and Office equipment 20%.

Operating leases

Rentals payable under operating leases are charged to the statement of income over the term of the lease.

Pensions

Contributions to defined contribution pension funds are charged to the statement of income when payable. The assets of all the schemes supported are held separately from those of the Company in independently administered funds.

Taxation

The company was not subject to income tax in Bermuda in 2023 and prior years. On 27 December 2023, Bermuda enacted a 15% corporate income tax that will generally become effective on 1 January 2025. The Bermuda legislation defers the effective date for five years for Bermuda companies in consolidated groups that meet certain requirements. The Company expects to meet the requirements to be exempt from the Bermuda corporate income tax until 1 January 2030. The Bermuda legislation also provides for an economic transition adjustment that will reduce future years' taxable

income. Under GAAP, this economic transition adjustment was required to be recognized as a net deferred tax asset as of 31 December 2023. Accordingly, GAIL's net income for 2023 included a net deferred tax benefit of $51 million.

Tax on the profit or loss for the year comprises current and deferred tax. Tax is recognized in the statement of income except to the extent that it relates to items recognised directly in equity or other comprehensive income, in which case it is recognised directly in equity or other comprehensive income. Current tax is the expected tax payable or receivable on the taxable income or loss for the year, using tax rates enacted or substantively enacted at the balance sheet date, and any adjustment to tax payable in respect of previous years.

1. Statement of accounting policies (continued)

Taxation (continued)

Deferred tax is provided on timing differences which arise from the inclusion of income and expenses in tax assessments in periods different from those in which they are recognised in the consolidated financial statements. Deferred tax is not recognised on permanent differences arising because certain types of income or expense are non-taxable or are disallowable for tax or because certain tax charges or allowances are greater or smaller than the corresponding income or expense. Deferred tax is measured at the tax rate that is expected to apply to the reversal of the related difference, using tax rates enacted or substantively enacted at the balance sheet date. Unrelieved tax losses and other deferred tax assets are recognised only to the extent that it is probable that they will be recovered against the reversal of deferred tax liabilities or other future taxable profits.

Profit commissions

Profit commissions expected to arise on (re)insurance contracts are recognised on an accruals basis subject to an assessment of certainty over the year's profitability.

2. Management of risk

Approach to risk management

GAIL's core business relies on the assumption of internal and external risk within the appetites and tolerances established by the Board. Primarily GAIL's business is the assumption of Insurance Risk and Market Risk, with the additional categories of Credit Risk, Liquidity Risk, Operational Risk and Group Risk. Managing these risks in a manner that is consistent with the strategy, appetites and tolerances established by the Board requires that GAIL has in place a systematic, objective, and robust set of governance arrangements and processes for identifying and quantifying the risks to which it is exposed. This enables GAIL to determine appropriate strategies and approaches for prevention and mitigation.

The effectiveness with which GAIL manages risk is a key determinant of the level of capital resources required to run the business and its ability to achieve its strategic objectives including, in relation to capital efficiency and the production of acceptable levels of return.

Insurance risk

This is the risk arising from the uncertainties in timing, frequency and severity of insured losses, relative to the expectations made at the time of business planning or underwriting. GAIL's business is based on the seeking and assumption of insurance risk. The Company writes a balanced and diversified book of business through a team of experienced underwriters with the objective of charging appropriate premiums to cover claims and operational costs whilst optimising the expected return on equity. Target returns are assessed each year, taking into account the insurance market outlook and realistic expectations of return on equity. Insurance risk comprises the following elements:

a) Exposure management risk

This is the risk of exposure to an event, or a series of events, which causes a potential financial loss that exceeds expectations. The nature of GAIL's business and underwriting portfolio includes the assumption of a high degree of catastrophe, non-catastrophe and accumulative exposure to different events. This is managed through the purchase of reinsurance and diversification of business lines and geographical areas to balance exposures, with the aim of reducing the risk that one event, or a series of events, will cause unacceptable loss to the business. GAIL's catastrophe and non-natural catastrophe modelling processes incorporate GAIL-specific disaster scenarios, aggregate caps and cross-class modelling which reflect the diversity of the portfolio.

b) Underwriting quality risk

This is the risk of inappropriate underwriting or the inadequate pricing of risks which can lead to unprofitable business or inefficient line utilisation and risk selection. The management of underwriting quality can be difficult in a competitive market where underwriters are often under pressure to meet premium and pricing targets. GAIL operates an underwriting controls framework which includes individual underwriting authorities, continual quality monitoring and peer review of risks. The framework aims to ensure a high quality of underwriting through monitoring of pricing and rate change, contract certainty and agreement of appropriate terms and conditions.

d) Claims management risk

This is the risk that claims made are not managed in an appropriate manner, leading to material adverse results through an increase in claims, payments or exposure to legal issues. The management of claims is conducted in accordance with claims procedures, which includes the management of claims workflows and response times, reviews of major claims to ensure accurate estimates, regular reserving reviews and discussions with underwriters.

2. Management of risk (continued)

e) Reserving risk

This is the risk that the estimated claims reserves differ materially from the ultimate cost of the claim or event. Reserving risk has the potential to significantly impact profitability. The potential impact is controlled through the use of a mix of actuarial models and methods, industry data and underwriter experience to produce reliable estimates that are based on up to date information and consistently applied over time and across classes of business. These estimates are subject to an external review each year.

f) Reinsurance purchasing

This is the risk of purchasing insufficient or inappropriate reinsurance, or the exhaustion of reinsurance, leading to excessive or unexpected losses. The process of reinsurance purchasing forms a major part of GAIL's business planning process and includes the use of internal models as a tool for decision making. Reinsurance is purchased for a mixture of risk and event losses across the majority of classes, in a mixture of excess of loss and proportional cover, dependent on the scale and characteristics of the class or treaty concerned. GAIL also employs controls and monitoring around the use of insurers, credit ratings and concentration risk.

g) Underwriting management

This is the risk that returns from the policies written are different from expectations or are not in line with the business plan. Examples include a failure to reduce or exit from unprofitable business or a failure of underwriters to follow the business plan which sets out the parameters, classes, limitations and profitability expectation of underwriting teams for the forthcoming year. Communication of the business plan to the underwriting teams is therefore imperative. The performance of each class and the portfolio as a whole is reviewed against the business plan on a regular basis by the Board and various committees using information available from the management information portal. Various controls are in place to ensure constant vigilance including underwriting authorities, monitoring of risk codes, geographical aggregates and data quality.

Sensitivity to movement in net claims liabilities	2024 Impact on profit USD'000	2023 Impact on profit USD'000	2024 Impact on net assets USD'000	2023 Impact on net assets USD'000
5% increase in total net claim liabilities	(79,137)	(44,008)	(79,137)	(44,008)
5% decrease in total net claim liabilities	79,137	44,008	79,137	44,008

Credit risk

Credit risk arises when counterparties fail to meet their obligations in full as they fall due. The key area where credit risk can arise is investment counterparties. The investment portfolio is managed in line with asset allocation guidelines which are monitored by type, counterparty, quality and duration. GAIL outsources the management of a significant proportion of its investment portfolio to managers who monitor and report on performance and adherence to guidelines on a regular basis.

2024 – credit risk analysis	A or above USD'000	BBB USD'000	Lower than BBB USD'000	Unrated USD'000	Total USD'000
Financial assets at fair value	689,316	363,815	119,980	480,439	1,653,550
Reinsurance assets	245,798	-	-	87,364	333,162
Cash and cash equivalents	126,332	-	-	-	126,332
	1,061,446	363,815	119,980	567,803	2,113,044

2023 – credit risk analysis	A or above USD'000	BBB USD'000	Lower than BBB USD'000	Unrated USD'000	Total USD'000
Financial assets at fair value	684,649	169,414	110,437	419,191	1,383,691
Reinsurance assets	169,409	-	-	71,977	241,386

Cash and cash equivalents	46,590	-	-	-	46,590
	900,648	169,414	110,437	491,168	1,671,667

2. Management of risk (continued)

Market risk

This is the risk that the value of assets and liabilities changes as a result of market movements or events e.g. foreign exchange rates, interest rates and market prices.

a) Foreign exchange risk

The functional currency of the Company is the US dollar and the presentation currency in which the Company reports its results is the US dollar. Therefore, the Company is exposed to fluctuations in exchange rates for non-dollar denominated transactions.

The five main currencies of the Company are US dollars, Sterling, Canadian dollars, Australian dollars and Euros. The Company's underwriting capital is matched by currency to the principal underlying currencies of its written premiums. This helps to mitigate the risk that the capital required to underwrite business is materially affected by any future movements in exchange rates.

2024 – currency analysis	Sterling USD'000	Euros USD'000	Canadian dollars USD'000	Australian dollars USD'000	US dollars USD'000	Total USD'000
Assets	167,746	97,999	110,706	33,894	3,343,212	3,753,557
Liabilities	119,015	132,194	58,131	14,253	2,180,971	2,504,564
Net assets	48,731	(34,195)	52,575	19,641	1,162,241	1,248,993

2023 – currency analysis	Sterling USD'000	Euros USD'000	Canadian dollars USD'000	Australian dollars USD'000	US dollars USD'000	Total USD'000
Assets	79,547	69,916	24,501	8,081	2,265,756	2,447,801
Liabilities	38,993	94,171	7,500	3,679	1,319,177	1,463,520
Net assets	40,554	(24,255)	17,001	4,402	946,579	984,281

Sensitivity to foreign exchange risk	2024 Impact on profit after tax USD'000	2023 Impact on profit after tax USD'000	2024 Impact on net assets USD'000	2023 Impact on net assets USD'000
USD weakens by 5% against other currencies	48,590	17,176	48,590	17,176
USD strengthens by 5% against other currencies	(42,588)	(15,827)	(42,588)	(15,827)

b) Interest rate risk

Some of the financial instruments, including certain financial assets at fair value, cash and cash equivalents and borrowings, are exposed to movements in market interest rates. The Company manages interest rate risk by primarily investing in short-duration financial assets and cash and cash equivalents. The duration of assets is monitored on a regular basis. The duration of assets exposed to movements in market interest rates is 1.6 (2023: 0.9). Changes in interest rates, with all other variables constant, would result in changes in the capital value of debt securities and borrowings as well as subsequent interest receipts and payments.

Sensitivity to interest rate risk	2024 Impact on profit USD'000	2023 Impact on profit USD'000	2024 Impact on net assets USD'000	2023 Impact on net assets USD'000

50 basis point increase in interest rates	(13,685)	(7,793)	(13,685)	(7,793)
50 basis point decrease in interest rates	13,875	8,207	13,875	8,207

2. Management of risk (continued)

c) Price risk

Financial assets recognised at fair value are exposed to movements in market prices. Financial assets include primarily fixed and floating rate debt securities, which are well diversified across high quality, liquid securities. The risk associated with these securities is predominantly interest, foreign exchange and credit risk related.

Sensitivity to price risk	2024 Impact on profit USD'000	2023 Impact on profit USD'000	2024 Impact on net assets USD'000	2023 Impact on net assets USD'000
5% increase in market prices	4,183	5,611	4,183	5,611
5% decrease in market prices	(4,183)	(5,271)	(4,183)	(5,271)

Liquidity risk

Liquidity risk arises where cash may not be available to pay obligations when they fall due without incurring unreasonable penalties or expense costs. The risk is minimised by holding sufficient liquid assets to enable large and unexpected payments, predominately claims, to be made in all but the most extreme scenarios. GAIL's Catastrophe Event Response Plan provides information to quantify liquidity implications of losses, reinsurance recoveries, cashflows and trust funds in the event of a catastrophe or large loss. The process is also stress tested using historic scenarios to determine the behaviour of the portfolio following an event or series of events.

2024 – maturity analysis	<1yr USD'000	1-2yrs USD'000	2-3yrs USD'000	3-5yrs USD'000	>5yrs USD'000	Total USD'000
Financial assets at fair value	676,269	458,520	206,318	134,087	178,356	1,653,550
Cash and cash equivalents	126,332	-	-	-	-	126,332
Financial liabilities	-	-	-	-	(158,060)	(158,060)
	802,601	458,520	206,318	134,087	20,296	1,621,822

2023 – maturity analysis	<1yr USD'000	1-2yrs USD'000	2-3yrs USD'000	3-5yrs USD'000	>5yrs USD'000	Total USD'000
Financial assets at fair value	1,071,386	43,155	64,566	81,559	123,025	1,383,691
Cash and cash equivalents	46,590	-	-	-	-	46,590
Financial liabilities	-	-	-	-	(189,682)	(189,682)
	1,117,976	43,155	64,556	81,559	(66,657)	1,240,599

In the above analysis, assets with no duration are included as "less than one year".

Net claims liabilities – cashflow timing	<1yr USD'000	1-3yrs USD'000	3-5yrs USD'000	>5yrs USD'000	Total USD'000	Weighted average term of settlement (years)
2024	577,723	536,730	106,035	85,399	1,305,887	2.35
2023	273,784	285,454	74,354	54,118	687,710	2.20

2. Management of risk (continued)

Operational risk

Operational risk is the risk of loss resulting from inadequate or failed internal processes or systems. Risks are identified within the risk register and are modelled via operational scenarios. GAIL aims to minimise its exposure to operational risk by monitoring controls and management information in the form of key indicators that indicate changes to the risk profile.

GAIL outsources a number of key functions, such as investment management, inwards premium credit control and human resources. This introduces the risk that the Company may be exposed to liability or may fail to achieve its objectives due to inappropriately arranged, or a failure of, outsource arrangements. This risk is mitigated through pre-contract due diligence and performance review throughout the contract life cycle.

GAIL recognises that the success of a business depends on the ability to retain the services of existing key staff and to attract and retain additional people in the future, both in underwriting and support functions. This risk is managed through the provision of sufficient education and development, support for qualifications and competitive remuneration packages.

GAIL is also impacted by the risk of information technology system failure or disruption. This is mitigated through a control framework which includes network security, data, hardware and applications and is complemented by detailed planning around back-ups, contingency and disaster recovery, all of which are monitored and tested on a regular basis.

Regulatory risk

Regulatory risk is the risk of censure following a breach of regulatory or legal requirements, or a failure to respond to deadlines or information requests from regulators in a satisfactory and timely manner.

The Company is regulated by the Bermuda Monetary Authority ("BMA"). In order to mitigate this, GAIL seeks to conform to the regulations as they apply to each functional area. Much of this is operated through training and awareness to promote correct behaviour at source, as opposed to corrective action at a later stage. The overall risk is managed by the legal department and designated "Principal Representative" which seeks to ensure that deadlines are met and changes in regulation are communicated in a timely manner.

Capital management risk

The total regulatory capital of the Company is as follows:	2024 USD'000	2023 USD'000
Shareholder's equity	1,248,993	984,281
Financial liabilities reclassified as Tier 2 capital	158,060	159,682
Total Regulatory Capital	**1,407,053**	**1,143,963**

Risks associated with the effectiveness of the Company's capital management are mitigated as follows:

1. regular monitoring of current and prospective regulatory and rating agency capital requirements;
2. oversight of capital requirements by the Board of Directors;
3. ability to purchase sufficient, cost-effective reinsurance; and
4. maintaining contact with vendors, regulators and rating agencies in order to stay abreast of upcoming developments

The Company reviews the level and composition of capital on an ongoing basis with a view to:

5. maintaining sufficient capital for underwriting opportunities and to meet obligations to policyholders;
6. maximizing the risk-adjusted return to shareholders within predetermined risk tolerances;
7. maintaining adequate financial strength ratings; and
8. meeting internal, rating agency and regulatory capital requirements .

2. Management of risk (continued)

Capital management risk (continued)

The company is required to monitor their enhanced capital requirement under the BMA's regulatory framework, which has been assessed as equivalent to the EU's Solvency II regime. For 2024, the Company's capital requirement is calculated using the BSCR standard formula model, see Note 23 for more detail.

3. Segmental analysis

GAIL management considers it has one segment, being the reinsurance and insurance business.

4. Investment income

	2024 USD'000	2023 USD'000
Income on financial investments at fair value	33,309	17,777
Interest on cash and cash equivalents	575	428
Realised gains on investments	12,915	8,151
Unrealised gains on investments	44,435	45,970
Realised losses on investments	(213)	-
Unrealised losses on investments	(3,112)	(540)
Investment management charges	(666)	(602)
	87,243	71,184

5. Income from interests in associated undertakings

During the first quarter of 2024 GAIL purchased 490 Series NL0001 Preferred Shares of NL0001 ("NP Limited"), a separate account under Horseshoe Re Limited ("Horseshoe") from B&B Facility HoldCo, Inc. ("B&B") for total consideration of $5.0 million. The shares purchased by GAIL represent a 49% ownership stake in NP Limited, with B&B maintaining the remaining 51% ownership stake. GAIL accounts for NP Limited under the equity method of accounting. The Company's share of profit in NP Limited for the period of $8.8m is recognized in income from interests in associated undertakings.

6. Operating expenses

	2024 USD'000	2023 USD'000
Staff costs	29,946	28,467
Accommodation costs	521	531
Legal and professional fees	10,124	5,561
(Gain) on foreign exchange	(2,302)	(2,126)
Other expenses	5,725	6,270
	44,014	38,703

7. Finance costs

	2024 USD'000	2023 USD'000
Interest on subordinated debt	18,836	20,760
Interest and fees charged on credit facilities	662	570
	19,498	21,330

8. Taxation

The company was not subject to income tax in Bermuda in 2023 and prior years. On 27 December 2023, Bermuda enacted a 15% corporate income tax that will generally become effective on 1 January 2025. The Bermuda legislation defers the effective date for five years for Bermuda companies in consolidated groups that meet certain requirements. The Company expects to meet the requirements to be exempt from the Bermuda corporate income tax until 1 January 2030. The Bermuda legislation also provides for an economic transition adjustment that will reduce future years' taxable income. Under GAAP, this economic transition adjustment was required to be recognized as a net deferred tax asset as of 31 December 2023. Accordingly, GAIL's net income for 2023 included a net deferred tax benefit of $51 million.

Tax benefit included in profit or loss	2024 USD'000	2023 USD'000
Current tax	-	-
Deferred tax	-	51,000
Total tax credited to the consolidated statement of income	-	51,000

Tax reconciliation	2024 USD'000	2023 USD'000
Profit for the year before tax	264,712	223,254
Taxation effect of:		
Profits not taxable in Bermuda in the year	-	-
Economic transition adjustment (ETA)	-	51,000
Tax benefit for the year	-	51,000
Profit for the year after tax	264,712	274,254

9. Financial assets and liabilities

Financial assets at fair value:	2024 USD'000	2023 USD'000
Shares and other variable yield securities	448,211	372,685
Debt and other fixed income securities	1,053,122	868,893
Other investments	152,217	142,113
	1,653,550	1,383,691

The amount expected to mature before and after one year is:		
Before one year	676,269	1,071,386
After one year	977,281	312,305
	1,653,550	1,383,691

As set out in note 24, investments held in trust by Lloyd's of London and as collateral and are not readily available to the Company.

Borrowings	2024 USD'000	2023 USD'000
Subordinated debt - expected to mature after one year	158,060	189,682

Fair value measurement

The fair values of financial assets are based on prices provided by investment managers who obtain market data from numerous independent pricing services. The pricing services used by the investment manager obtain actual transaction prices for securities that have quoted prices in active markets. For those securities which are not actively traded, the pricing services use common market valuation pricing models. Observable inputs used in common market valuation pricing models include, but are not limited to, broker quotes, credit ratings, interest rates and yield curves, prepayment speeds, default rates and other such inputs which are available from market sources.

Level 1 includes fair values measured using quoted prices (unadjusted) in active markets for identical instruments. Level 2 includes fair values measured using directly or indirectly observable inputs or other similar valuation techniques for which all significant inputs are based on market observable data. Level 3 includes fair values measured using valuation techniques for which significant inputs are not based on market observable data.

	2024 USD'000	2023 USD'000
Level 1	397,856	541,892
Level 2	1,127,007	725,859
Level 3	128,687	115,940
	1,653,550	1,383,691

Level 2 of the hierarchy contains corporate securities, asset backed securities and mortgage-backed securities. The fair value of these assets is based on the prices obtained from both investment managers and investment custodians. Level 3 includes the bank loan funds for which fair value is measured at net asset value of the fund.

10. Deferred acquisition costs

	2024 USD'000	2023 USD'000
Balance at 1 January	42,384	36,543
Additions	65,136	73,766
Amortisation charge	(63,442)	(67,977)
Foreign exchange movements	(90)	52
Balance at 31 December	43,988	42,384

11. Insurance Receivables

	2024 USD'000	2023 USD'000
Arising out of reinsurance operations	419,442	346,685
Amounts due from group companies	1,089,685	318,199
	1,509,127	664,884

	2024 USD'000	2023 USD'000
Due within one year	845,016	402,937
Due after one year	664,111	261,947
	1,509,127	664,884

12. Reinsurance assets

	2024 USD'000	2023 USD'000
Reinsurers' share of claims reported and loss adjustment expenses	47,671	31,642
Reinsurers' share of claims incurred but not reported	229,189	160,815
Reinsurers' share of claims liabilities	276,860	192,457
Reinsurers' share of unearned premiums	56,302	48,929
	333,162	241,386

13. Other Receivables

	2024 USD'000	2023 USD'000
Amounts due from group companies	6,100	5,536

14. Cash and cash equivalents

	2024 USD'000	2023 USD'000
Cash at bank and in hand	111,759	35,832
Cash equivalents	14,573	10,758
Cash and cash equivalents	126,332	46,590

As set out in note 24, cash held in trust is not readily available to the Company.

15. Share capital and share premium

	2024 Authorised Number	2024 Authorised USD'000	2024 Allotted, issued and fully paid Number	2024 Allotted, issued and fully paid USD'000
Ordinary share capital of USD1 each	1,000,000	1,000	1,000,000	1,000

	2023 Authorised Number	2023 Authorised USD'000	2023 Allotted, issued and fully paid Number	2023 Allotted, issued and fully paid USD'000
Ordinary share capital of USD1 each	1,000,000	1,000	1,000,000	1,000

	2024 USD'000	2023 USD'000
Share premium	595,399	595,399

16. Insurance liabilities

	2024 USD'000	2023 USD'000
Claims reported and loss adjustment expenses	224,626	214,214
Claims incurred but not reported	1,358,121	665,952
Claims liabilities	1,582,747	880,166
Unearned premiums	616,913	306,192
	2,199,660	1,186,358

16. Insurance liabilities (continued)

Movements in insurance liabilities and reinsurance assets are as follows:

Claims incurred and claim adjustment expenses	2024 Gross USD'000	2024 Reinsurance USD'000	2024 Net USD'000	2023 Gross USD'000	2023 Reinsurance USD'000	2023 Net USD'000
At 1 January	880,166	(192,457)	687,709	868,049	(147,586)	720,463
Claims paid	(410,853)	50,247	(360,606)	(814,397)	7,964	(806,433)
Movement arising from current years	1,190,616	(186,814)	1,003,802	831,362	(28,334)	803,028
Movement arising from prior years	(71,937)	52,164	(19,773)	25,635	(24,501)	1,134
Net exchange differences	(5,245)	-	(5,245)	(30,483)	-	(30,483)
At 31 December	1,582,747	(276,860)	1,305,887	880,166	(192,457)	687,709

Unearned premiums	2024 Gross USD'000	2024 Reinsurance USD'000	2024 Net USD'000	2023 Gross USD'000	2023 Reinsurance USD'000	2023 Net USD'000
At 1 January	306,192	(48,929)	257,263	447,278	(34,246)	413,032
Increase in the year	1,889,795	(415,735)	1,474,060	1,427,951	(327,993)	1,099,958
Release in the year	(1,574,702)	408,362	(1,166,340)	(1,575,407)	313,310	(1,262,097)
Net exchange differences	(4,372)	-	(4,372)	6,370	-	6,370
At 31 December	616,913	(56,302)	560,611	306,192	(48,929)	257,263

Assumptions and processes

a) The reserving process

GAIL uses a quarterly process to set its reserves. Several actuarial and statistical methods are used to estimate the ultimate premium and claims costs, with the most appropriate method selected depending on the nature of each class of business. In addition, the underwriting teams review the development of the incurred loss ratio over time, work with the claims team to set reserve estimates for identified claims and utilise their detailed understanding of both risks underwritten and the nature of the claims to establish an alternative estimate of ultimate claims cost, which is compared to the actuarially established figures. The Reserving Committee then determines the reserves held for accounting purposes. An annual independent actuarial review is undertaken to ensure that the reserves established are not lower than an independently established best estimate.

Chain-ladder techniques are applied to premiums, paid claims and incurred claims (i.e. paid claims plus case estimates). The basic technique involves the analysis of historical claims development factors and the selection of estimated development factors based on historical patterns. The selected development factors are then applied to cumulative claims data for each underwriting year that is not yet fully developed to produce an estimated ultimate claims cost for each underwriting year. The Bornhuetter-Ferguson method uses a combination of a benchmark / market-based estimate and an estimate based on claims experience.

16. Insurance liabilities (continued)

The former is based on a measure of exposure such as premiums; the latter is based on the paid or incurred claims observed to date. The two estimates are combined using a formula that gives more weight to the experience-based estimate as time passes.

The choice of selected results for each underwriting year of each class of business depends on an assessment of the technique that has been most appropriate to observed historical developments. In certain instances, this has meant that different techniques or combinations of techniques have been selected for individual underwriting years or groups of underwriting years within the same class of business. As such, there are many assumptions used to estimate general insurance liabilities.

We also review triangulations of the paid / outstanding claim ratios as a way of monitoring any changes in the strength of the outstanding claim estimates between underwriting years so that adjustments can be made to mitigate any subsequent over / (under)reserving.

Where significant large losses impact an underwriting year, the development is usually very different from the attritional losses. In these situations, the large loss total is extracted from the remainder of the data and analysed separately by the respective claims managers using exposure analysis of the policies in force in the areas affected. Further assumptions are required to convert gross of reinsurance estimates of ultimate claims cost to a net of reinsurance level and to establish reserves for unallocated claims handling expenses and reinsurance bad debt.

b) Major assumptions

The main assumption underlying these techniques is that the past claims development experience (with appropriate adjustments for known changes) can be used to project future claims development and hence ultimate claims costs. As such these methods extrapolate the development of premiums, paid and incurred losses, average costs per claim and claim numbers for each underwriting year based on the observed development of earlier years. Throughout, judgement is used to assess the extent to which past trends may not apply in the future; for example, to reflect changes in external or market factors such as economic conditions, public attitudes to claiming, levels of claims inflation, premium rate changes, judicial decisions and legislation, as well as internal factors such as portfolio mix, policy conditions and claims handling procedures.

The loss development table below provides information about historical claims development at a combined syndicate level, before the impact of the quota share arrangements with GAIL and third parties. The tables are by underwriting year which in our view provides the most transparent reserving basis. The top part of the table illustrates how the estimate of claims for each underwriting year has changed at successive year ends. The bottom half of the table reconciles the claims to the amount appearing in the consolidated balance sheet. While the information in the table provides a historical perspective on the adequacy of the claims liabilities established in previous years, users of these consolidated financial statements are cautioned against extrapolating past redundancies or deficiencies on current claims liabilities. The Company believes that the estimate of total claims liabilities selected is adequate. However, due to inherent uncertainties in the reserving process, it cannot be assured that such balances will ultimately prove to be adequate.

16. Insurance liabilities (continued)

Gross claims	2024 USD'000	2023 USD'000	2022 USD'000	2021 USD'000	Net claims	2024 USD'000	2023 USD'000	2022 USD'000	2021 USD'000
End of reporting year	715,884	422,831	511,026	263,717	End of reporting year	548,272	386,465	384,076	258,085
1 year later	-	715,966	571,775	436,665	1 year later	-	669,382	430,461	416,030
2 years later	-	-	582,997	348,103	2 years later	-	-	478,891	325,362
3 years later	-	-	-	219,732	3 years later	-	-	-	202,087

The current year gross and net claims have been presented using current period foreign exchange rates. The prior year amounts have been presented at the rates of exchange that existed on the various balance sheet dates.

	All years USD'000
Total claims	1,898,632
Less paid claims	(592,745)
Claims liabilities, Company	1,305,887

On a whole account basis, the claims experience in 2024 has been better than expected based on the prior year reserves.

17. Financial liabilities

	2024 USD'000	2023 USD'000
At carrying value:		
Subordinated debt	158,060	189,682

Management considers the fair value of the subordinated notes to be equivalent to the carrying value. The floating rate subordinated notes rank equally with all outstanding and future unsecured and subordinated debt, are effectively subordinated to all existing and future secured debt and are contractually subordinated to the rights of policyholders under insurance and reinsurance contracts issued by the Company. Each of the notes are callable at the Company's option on any interest payment date after 10 years of the issue date.

On the 15 March 2024 GAIL redeemed the $30.0m floating rate junior subordinated notes in full for $30.7m

A description of the notes is set out below:

Description	Interest at December 31, 2024	Issue date	Redemption date
EUR39,100,000 Floating rate Tier 2 subordinated notes	3-month EURIBOR plus 5.75%	13 July 2021	13 July 2041
USD47,000,000 Floating rate Tier 2 subordinated notes	SOFR plus CAS plus 5.75%	11 August 2021	11 August 2041
USD70,000,000 Floating rate Tier 2 subordinated notes	SOFR plus CAS plus 6.10%	08 September 2021	08 September 2041

17. Financial liabilities (continued)

	2024 USD'000	2023 USD'000
USD8,500,000 Floating rate junior subordinated notes	-	8,500
USD8,500,000 Floating rate junior subordinated notes	-	8,500
USD13,000,000 Floating rate junior subordinated notes	-	13,000
EUR39,100,000 Floating rate Tier 2 subordinated notes	41,060	42,682
USD47,000,000 Floating rate Tier 2 subordinated notes	47,000	47,000
USD70,000,000 Floating rate Tier 2 subordinated notes	70,000	70,000
	158,060	189,682

18. Other payables

	2024 USD'000	2023 USD'000
Creditors arising out of reinsurance operations – payable within one year	115,594	58,214
Amounts due to related parties – payable within one year	6,995	1,516
	122,589	59,730

19. Deferred taxation

	2024 USD'000	2023 USD'000
Deferred tax asset	51,000	51,000

	2024 USD'000	2023 USD'000
Deferred taxation asset at 1 January	51,000	-
Economic transition adjustment (ETA)	-	51,000
Deferred taxation asset at 31 December	51,000	51,000

20. Commitments under operating leases

Non- cancellable operating lease rentals payment profile	2024 USD'000	2023 USD'000
Within 1 year	536	536
Within 2 to 5 years	179	715
	715	1,251

During the year USD$0.5 million (2023: USD$0.5m) was recognized as an expense in the consolidated statement of income in respect of operating leases.

21. Scope of Consolidation

Consolidated Companies

During the third quarter of 2024 GAIL sponsored the formation of Daggar, a separate account under Axcell Re, a Bermuda company registered as a Class 3 insurer and segregated accounts company. GAIL established Daggar to provide reinsurance capacity on program business written by Arrowhead General Insurance Agency ("Arrowhead"), a subsidiary of Brown and Brown, and fronted by MS Transverse Specialty Insurance Company ("Transverse"). GAIL capitalized Daggar by purchasing all 1,000 non-voting redeemable preference shares issued for $1 each and contributing additional surplus of $11.0 million. The capital was deposited into a collateral trust account.

Axcell Re, on behalf and for the benefit of Daggar, entered into a collateralized quota share reinsurance agreement with Transverse. The Reinsurance Agreement indemnifies Transverse for 90% of its Net Liability under policies issued or renewed on or after 1 July 2024, covering business produced and underwritten by Arrowhead. GAIL is the primary beneficiary of Daggar as it has both the power to direct the activities that most significantly impact Daggar's economic performance and the ability to absorb losses, or the right to receive returns, that could potentially be significant to Daggar and therefore consolidates Daggar.

The following table summarises key financial information for Daggar.

	2024 USD'000	2023 USD'000
Gross premiums written	30,954	-
Net premiums earned	7,586	-
Net investment income	192	-
Acquisition expenses	(1,011)	-
Net claims and claims expenses	(6,575)	-
Profit on related party reinsurance	192	-

Included in the GAIL consolidated balance sheet are the following balances related to Daggar.

	2024 USD'000	2023 USD'000
Insurance receivables	19,525	-
Deferred acquisition costs	3,114	-
Insurance liabilities		
1. Claims liabilities	6,572	-
2. Unearned premiums	23,368	-

22. Related parties

GAIL is a subsidiary undertaking of Group Ark Insurance Holdings Limited ("GAIHL") and AIHL. The ultimate parent company is WTM. The registered office of GAIHL, AIHL and WTM is Clarendon House, 2 Church Street, Hamilton, HM11, Bermuda.

In 2020 GAIL entered into a service agreement with an affiliated company, Richmond Risk Management, Inc. ("RRM") to provide certain services related to portfolio management and claims advisory services. Fees paid by GAIL to RRM in the year in respect of these services amounted to USD1.8m (2023: USD1.2m). The intercompany receivable at 31 December 2024 $6.1m (2023: $5.5m) and the intercompany payable as at 31 December 2024 $6.9m (2023: $1.5m) represent balances due from/to affiliates that are unsecured, non-interest bearing and due on demand.

GAIL provides intercompany reinsurance to an affiliate through the ACML Quote Share ("ACML QS"). The following table summarises the impact of the intercompany reinsurance.

	2024 USD'000	2023 USD'000
Gross premiums written	562,872	474,272
Net premiums earned	514,009	425,209
Net claims and claims expenses	(363,211)	(278,159)
Profit on related party reinsurance	150,798	147,050

Included in the GAIL consolidated balance sheet are the following balances related to intercompany reinsurance

	2024 USD'000	2023 USD'000
Insurance receivables	1,089,685	374,212
Insurance liabilities		
1. Claims liabilities	524,676	170,546
2. Unearned premiums	341,419	56,616

During the fourth quarter of 2022, Ark sponsored the formation of Outrigger Re Ltd, a Bermuda company registered as a special purpose insurer and segregated accounts company, to provide reinsurance capacity to Ark. As part of this WTM participated in this arrangement. In the fourth quarter of 2024, WTM commuted their participation in Outrigger for the 2023 underwriting year.

The following table summarises the impact of their participation.

	2024 USD'000	2023 USD'000
Ceded Premium	86,549	109,965
Net premiums earned	87,922	104,244
Net claims and claims expenses	(29,926)	(15,613)
Acquisition expenses	(23,181)	(30,511)
Profit on related party reinsurance	34,815	58,120

22. Related parties (continued)

	2024 USD'000	2023 USD'000
Reinsurance assets		
1. Reinsurers' share of claims liabilities	31,803	15,613
2. Reinsurers' share of unearned premium	4,348	5,721
Insurance receivables	3,076	-
Deferred acquisition costs	(807)	(1,056)
Other Payables		
1. Reinsurance balances payable	30,834	27,703

During the first quarter of 2024 GAIL purchased 490 Series NP Limited, a separate account under Horseshoe from B&B for total consideration of $5.0 million. The shares purchased by GAIL represent a 49% ownership stake in NP Limited, with B&B maintaining the remaining 51% ownership stake. GAIL accounts for NP Limited under the equity method of accounting. The Company's share of profit in NP Limited of $8.8m is recognized in income from interests in associated undertakings.

Included in the GAIL consolidated balance sheet are the following balances related to the investment in NP Limited.

	2024 USD'000	2023 USD'000
Associated undertakings	13,772	-

23. Minimum statutory capital and liquidity ratio

GAIL is registered as an insurer under the Bermuda Insurance Act, 1978 and is required by its Class 4 license to maintain minimum statutory capital and surplus equal to the greater of a minimum solvency margin ("MSM") and the Enhanced Capital Requirement ("ECR") where applicable. The ECR is equal to the higher of the MSM or the Bermuda Solvency Capital Requirement ("BSCR") model or approved internal capital model.
The minimum statutory capital and surplus determined as the greater of a percentage of outstanding losses and loss expenses or a given fraction of net written premiums. At 31 December 2024 GAIL is required to maintain a minimum statutory capital and surplus of USD546.8m (2023: USD508.4m). At 31 December 2024 GAIL has statutory capital and surplus of USD1,346.7m (2023: USD1,138.5m). At 31 December 2023 GAIL had an ECR of $662.5m. The 31 December 2024 BSCR has not been finalized.

GAIL is also required to maintain a minimum liquidity ratio whereby the value of its relevant assets is not less than 75% of the amount of its relevant liabilities. Relevant assets include cash and cash equivalents, catastrophe bonds, fixed maturity securities, accrued interest receivable, reinsurance balances receivable, funds withheld and other assets. Certain categories of assets do not qualify as relevant assets under the statute. Relevant liabilities are outstanding losses and loss expenses, unearned premiums, deferred fee income, dividends payable, accounts payable and accrued expenses, net of outstanding losses recoverable from reinsurers and prepaid reinsurance premiums. At 31 December 2024, GAIL was required to maintain relevant assets of at least USD1,513.5m (2023: USD796.8m). At that date relevant assets were USD3,262.1m (2023: USD2,101m) and the minimum liquidity ratio was therefore met.

The ability of the Company to pay dividends is limited under Bermuda law and regulations. The Insurance Act provides that a Class 4 insurer may not declare or pay, in any financial year, dividends of more than 25% of its total statutory capital and surplus (as shown on its statutory balance sheet in relation to the previous financial year) unless it files with the BMA at least seven days prior to the payment, an affidavit signed by at least two directors and the Company's principal representative, stating that in their opinion, the Company will continue to satisfy the required margins following declaration of those dividends, however, there is no additional requirement for BMA approval.

In addition, before reducing its total statutory capital by 15% or more, a Class 4 Bermuda insurer must make application to the BMA for permission to do so. Such application shall consist of an affidavit signed by at least two directors and the Company's principal representative stating that in their opinion the proposed reduction in capital will not cause such subsidiaries to fail to meet its relevant margins, and such other information as the BMA may require.

24. Pledged Assets

The company holds restricted assets comprising cash and cash equivalents and financial assets that were pledged and held in trust. These amounts are not readily available to the company.

ACML is required to arrange for additional capital to be held at Lloyd's, known as FAL, which is held in trust. Financial assets and cash and cash equivalents of USD353.5m (2023: USD337.9m) were provided on behalf of ACML by GAIL to Lloyd's This amount may be drawn down by Lloyd's in the event that the assets of the Syndicates prove insufficient to meet the underwriting liabilities of ACML.

The company held $208.2m (2023: $198.9m) in trust to provide collateral for letters of credit issued to third parties as detailed in Note 25, "Credit Facilities".

The company held cash and cash equivalents of $8.0m (2023: $7.3m) in trusts for the benefit of third parties.

25. Credit Facilities

The company has three letter of credit facilities provided by commercial banks. The facilities are utilised to provide collateral to companies reinsured by GAIL to the extent required under reinsurance arrangements.

On 14 December 2021, GAIL entered into an uncommitted letter of credit facility agreement with ING Bank N.V., London Branch ("ING") under which ING agreed to make available to GAIL an unsecured letter of credit facility, for a term as shall be notified to ING from GAIL from time to time. At 31 December 2024 there were no unsecured letters of credit outstanding under this agreement.

On 15 December 2021, GAIL entered into an uncommitted letter of credit facility agreement with Citibank Europe PLC ("Citi") under which Citi agreed to make available to GAIL a secured letter of credit facility, for a term as shall be notified to Citi from GAIL from time to time. As at 31 December 2024 this facility was secured by a fixed income security portfolio of $141.1m (2023: of $134.8m). At 31 December 2024, the Citi LOC facility had an outstanding principal balance of $101.7m (2023: of $106.5m) under this agreement.

On 22 September 2022, GAIL entered into an uncommitted letter of credit facility agreement with Lloyd's Bank Corporate Markets PLC ("Lloyd's") under which Lloyd's agreed to make available to GAIL a secured letter of credit facility, for a term as shall be notified to Lloyd's from GAIL from time to time. As at 31 December 2024 this facility was secured by a fixed income security portfolio of $67.1m (2023: $64.1m). At 31 December 2024, the Lloyd's facility had an outstanding principal balance of $42.7m (2023: $28.6m) under this agreement.

The company's obligations under the letter of credit facilities require GAIL to comply with various representations, warranties and covenants that are customary for facilities of this type. The company was in compliance with all such covenants at 31 December 2024 and 31 December 2023.

26. Post balance sheet events

The California wildfires in January 2025 represent a significant industry loss event. Industry estimates are still preliminary and range widely. GAIL will have exposure to this event primarily through the property line of business and the quota share assumed from ACML. At this time, the Company does not expect the wildfire losses will cause full year 2025 actual catastrophe losses to diverge materially from 2025 planned catastrophe losses.